

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 21-17

**Ocean Network Express (North America), Inc. and Ocean
Network Express, Pte., Ltd. – Possible Violations of 46 U.S.C. § 41102(c)**

**JOINT MOTION FOR, AND MEMORANDUM IN SUPPORT OF,
PROPOSED SETTLEMENT AGREEMENT**

Pursuant to Federal Maritime Commission’s (FMC or Commission) Rules of Practice and Procedure 72, 91, and 5, 46 C.F.R. §§ 502.72, 502.91, and 502.5, Respondent Ocean Network Express Pte. Ltd. (ONE or Respondent) and the Bureau of Enforcement (BOE) (the Parties)¹ jointly move for: (1) approval of the attached Settlement Agreement; (2) an order that the Settlement Agreement be held confidential by the Presiding Officer and the FMC and be barred from public view or disclosure; and (3) upon approval of the Settlement Agreement, dismissal of this proceeding with prejudice. The Parties further request that the deadline for the filing of all briefs in this proceeding be stayed pending a ruling on this Motion.

In support thereof, the Parties state as follows:

I. BACKGROUND

This proceeding was commenced by an Order of Investigation and Hearing (“Order”) issued on December 30, 2021 and served on January 6, 2022. The Order stated that the proceeding was commenced to: “determine whether ONE is in violation of 46 U.S.C. § 41102(c) of the Shipping Act of 1984 by its practice of demanding payment of charges from Greatway² despite Greatway not

¹ Ocean Network Express (North America), Inc. was dismissed from the proceeding by order of the Presiding Officer on May 4, 2022, and so is no longer a party to this proceeding.

being liable for such charges.” The Order further required the Presiding Officer to determine, if violations were found, whether civil penalties should be assessed (and, if so, in what amount) and whether a cease-and-desist order should be issued. Order at 6.

The Order designated BOE as a party to the proceeding and following commencement, the Parties engaged in discovery and motions, as well as concurrent and frequent settlement discussions. These discussions recently bore fruit in the form of the attached Settlement Agreement. The Settlement Agreement was the result of good faith negotiations between the Parties, each with the assistance of experienced counsel. Absent the Settlement Agreement, the proceeding would need to continue for many more steps, including: submission of Opening Briefs; submission of Reply Briefs; issuance of an Initial Decision; likely Exceptions to the Initial Decision by one or both Parties, and potential review in the courts of appeals.

The Settlement Agreement addresses the conduct alleged in the Order to constitute potential violations of the Shipping Act. It resolves the proceeding in the best interests of the Parties and the shipping public, without the need for further litigation, and it requires ONE to take certain measures intended to address the conduct alleged in the Order, without any admission of violations by the Respondent.

II. ARGUMENT AND AUTHORITIES

A. The Settlement Should be Approved

As the Presiding Officer recently explained in a proceeding related to the Order, the Commission itself has a “strong and consistent policy of ‘encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid.’” See *Greatway Logistics Group, LLC v. Ocean Network Express Pte. Ltd.*, FMC Docket No. 21-04, 2021 FMC LEXIS 190 (citing *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ

2002)). Further, it is “well settled that the law and Commission policy encourage settlements and engage in every presumption which favors a finding that they are fair, correct, and valid.” *Old Ben Coal Co. v. Sea-Land Service, Inc.*, 18 S.R.R. 1085, 1092 (I.D. 1978); accord, *American Stevedoring, Inc. v. The Port Authority of New York and New Jersey*, 2011 FMC LEXIS 13, *4 (I.D., admin. final 2011); *Smartstone Private Limited v. General Noli USA, Inc.*, 2015 FMC LEXIS 15, *5 (I.D., admin. final 2015). The Commission finds settlements especially supportable when the parties are confronted with the prospect of expensive further litigation and uncertainty as to the outcome. *Celanese Corp. v. The Prudential Steamship Co.*, 20 S.R.R. 27, 30 (ALJ 1980). This is because settlement “allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *Smartstone*, 2015 FMC LEXIS 15 *5 (quoting *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (2009)).

The Settlement Agreement negotiated by BOE and ONE, with the advice and assistance of their respective counsel, is reasonable and not inconsistent with any law or policy. The Parties have carefully considered the costs, benefits, and risks of further litigation, and determined that settlement is in their mutual interests, as well as that of the shipping public. It addresses the conduct alleged in the Order promptly, without need for extended litigation. Similarly, the Settlement Agreement was reached without fraud, duress, undue influence, or any other defect that would bar its approval. Accordingly, the Parties respectfully request that the Settlement Agreement be approved and that all of claims against ONE in the above-captioned proceeding be dismissed *with prejudice*.

In the event that this Motion is denied and the Settlement Agreement not approved, Respondent and BOE request leave to appeal the denial directly to the Commission, and if no party appeals, the Parties request they be afforded a reasonable amount of additional time to file their briefs.

B. The Settlement Agreement Should be Treated as Confidential.

The Parties further request that the Settlement Agreement be held confidential by the Commission, as permitted under Commission Rule 5. 46 C.F.R. § 502.5. The Commission, and the courts, routinely honor such requests. *See, e.g., Smartstone*, 2015 FMC LEXIS 15, *5-6; *American Stevedoring*, 2011 FMC LEXIS 13, *4-5 (quoting *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 2000 WL 19204888, *3 n.7 (ALJ 2000) (citations omitted), and citing *Marine Dynamics v. RTM Line, Ltd.*, 27 S.R.R. 503, 504 (ALJ 1996); *Int'l Assoc. of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 1607, 1609 (ALJ 1991)).

Under the terms of the Settlement Agreement, the Parties must keep the terms of the Settlement Agreement confidential. This confidentiality requirement is an important and necessary element of the Settlement Agreement; it could be compromised by a breach of such confidentiality. The Parties therefore respectfully request that the Commission keep the unredacted copy of the Settlement Agreement confidential. Because the entire Settlement Agreement is confidential, the Parties have not filed a public version of the Settlement Agreement. Commission precedent provides that settling parties need not file a public version of a settlement in such circumstances. *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Docket No. 13-07, 2015 FMC LEXIS 4, at *12 (FMC Apr. 14, 2015) (concluding that parties had complied with Commission Rule 5 even though “[n]o public version of the Agreement has been filed, as the parties seek to have the entire Agreement treated confidentially”).

The review also considers whether the proposed Settlement Agreement satisfies the appropriate criteria for approval with regard to the issue of penalty assessment, as the Commission has previously held:

[S]ettlement may be based upon a determination that the agency's 'enforcement policy in terms of deterrence and securing compliance, both present and future, will be adequately served by acceptance of the sum to be agreed upon'; that 'the amount accepted in compromise. . .may reflect an appropriate discount for the administrative and litigative costs of collection having regard for the time it will take to effect collection'; the value of settling claims on the basis of pragmatic litigative probabilities, i.e., the ability to prove a case for the full amount claimed either because of legal issues involved or a bona fide dispute as to facts; and that penalties may be settled 'for one or for more than one of the reasons authorized in this part.'

Far Eastern Shipping Co. - Possible Violations of Sections 16, Second Paragraph, 18(b)(3) and 18(c), Shipping Act, 1916, (FESCO), 21 S.R.R. 743, 759 (I.D., admin. final 1982).

Subsequent to *FESCO*, the Commission reaffirmed that potential costs and uncertainties of success are valid factors to be considered both in the negotiation of a settlement, and in view of a settlement agreement. *Investigation of Unfiled Agreements - Yangming Marine Transport, Evergreen Marine Corporation and Orient Overseas Container Line, Inc.*, 24 S.R.R. 910 (1988). In accordance with the Commission's previous analysis, proposed settlements are to be evaluated on the basis of balancing agency enforcement policy, deterrence by respondents, the industry, and the shipping public with the litigative probabilities, litigative and administrative costs, and such other matters as justice may require. That balance favors approval of this proposed settlement. With respect to the policy of enforcement, BOE stresses the importance of ensuring compliance with the Shipping Act of 1984. Respondent supports the Commission's objectives, acknowledge BOE's allegations against them, and have agreed to adjust their conduct to address the Commission's concerns. In sum, the terms of the Settlement Agreement "will have the desired

effect on Respondent and others because it would serve as a disincentive to future unlawful activity.” *World Chance*, 31 S.R.R. at 1352, (quoting *FESCO*, 21 S.R.R. at 759) (internal quotations omitted).

III. CONCLUSION

For the reasons above, Ocean Network Express Pte. Ltd. and the Bureau of Enforcement respectfully request that: (1) the Presiding Officer approve the Settlement Agreement; (2) the Settlement Agreement be afforded confidential treatment; and (3) that upon approval of the Settlement Agreement, this proceeding be discontinued with prejudice.

Dated: June 23, 2022.

Respectfully submitted,

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/s/ Brenda Doty

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CERTIFICATE OF SERVICE

I certify that on the 23 day of June, 2022, a true and correct copy of the foregoing document was served on all counsel of record in accordance with 46 CFR Part 502.

/s/ Brenda Doty _____